



Vets Central – Hills Veterinary Centre

MN-40017

Decision

Acquisition is to be subject to Phase 2 review

18 August 2026

1. Decision

- 1.1. On 1 July 2026, VC Operations (WA) Pty Ltd, a wholly owned subsidiary of VC Hamilton WA Pty Ltd (together with its subsidiaries and related bodies corporate, **Vets Central**), lodged a notification with the Australian Competition and Consumer Commission (**ACCC**) in respect of its proposed acquisition of 100% of the business assets of Hills Veterinary Centre (**Hills Veterinary Centre**) (the **Acquisition**).
- 1.2. The ACCC has decided under section 51ABZJ(1) of the *Competition and Consumer Act 2010* (Cth) (the **Act**) that the Acquisition is to be subject to Phase 2 review (**Phase 2 Notice**).
- 1.3. The ACCC is satisfied that the Acquisition, if put into effect, could, in all the circumstances, have the effect, or be likely to have the effect, of substantially lessening competition in a market.
- 1.4. If the notifying party continues with the Phase 2 review, it must pay the applicable Phase 2 fee by 27 August 2026. If the fee is not paid by the due date, the ACCC is taken to have decided to cease considering the notification.

2. Parties to the Acquisition

The acquirer – VC Operations (WA) Pty Ltd

- 2.1. Vets Central is an Australian-owned veterinary group that owns and operates 78 first opinion veterinary practices across Australia. Vets Central's practices supply core and ancillary veterinary services for household pets, certain exotic species and, in some practices, livestock. The services primarily include routine, planned, and emergency veterinary services (excluding after-hours services).
- 2.2. In South Australia, Vets Central owns 9 first opinion veterinary clinics.

The target – Hills Veterinary Centre

- 2.3. Hills Veterinary Centre is a veterinary practice located in Blackwood, South Australia, which is owned by veterinarian Jonathan Julian Carruthers. Blackwood is a suburb in the foothills of the Adelaide Hills, located approximately 12 kilometres south-east of the Adelaide CBD.
- 2.4. Hills Veterinary Centre supplies a range of first opinion core and ancillary veterinary services for household pets (extending to exotic pets) in the local area.

Overlap between the Parties

- 2.5. Vets Central and Hills Veterinary Centre (together, the Parties) overlap in the supply of small animal, general practice veterinary services supplied in standard hours (General Veterinary Services) in the local Blackwood area in South Australia.¹
- 2.6. The two closest clinics to Hills Veterinary Centre that Vets Central operates are Familypet Vet Coromandel Valley and Chandlers Hill Vet, which are respectively located approximately 2.9 km and 8.2 km south-west from Hills Veterinary Centre when measured in a straight-line. Vets Central also operates a further 3 veterinary clinics within a 15-to-30-minute drive from Hills Veterinary Centre, namely Old Reynella Veterinary Clinic, Aldgate Veterinary Clinic and Stephen Terrace Veterinary Clinic.

Industry background

- 2.7. Small animal veterinary practices supply general practice veterinary services, including first opinion consultations, general and preventative healthcare and advice, surgery, microchipping, dentistry, radiology, laboratory and pharmacy to household pets, such as dogs, cats, birds, rabbits and guinea pigs. These are distinguished from large animal veterinary services which are provided to livestock and equines such as cattle, sheep and horses.

3. Basis for Phase 2 Notice

- 3.1. During Phase 1, the ACCC may decide that a notification of an acquisition is to be subject to Phase 2 review if it is satisfied that the acquisition, if put into effect, could, in all the circumstances, have the effect, or be likely to have the effect, of substantially lessening competition in any market.
- 3.2. The basis for the ACCC's Phase 2 Notice is explained below, including the nature of the theories of harm that form the basis for the ACCC's satisfaction and the matters the ACCC intends to investigate before making a determination. The theory of harm the ACCC is considering is set out below.
- 3.3. The ACCC has taken into account the material received or available to it during its Phase 1 assessment. Material received includes information provided by the Parties in the notification and in response to information requests, submissions from third parties, publicly available information and information from other prior matters.
- 3.4. The ACCC invites submissions from interested parties on the matters that the ACCC intends to investigate further as outlined in the boxes below and any other relevant matters. Submissions should be provided by **5pm AEST on 1 September 2026** via email to mergers@accc.gov.au with the title *Submission re: Vets Central – Hills Veterinary Centre*.

¹ For General Veterinary Services, 'standard hours' typically include opening hours that commence in the morning and conclude in the early evening on weekdays and typically include additional opening hours on Saturdays. This is distinct from after-hours veterinary services, which are provided outside of standard hours.

Relevant areas of competition

- 3.5. The ACCC considers that the relevant area of competitive overlap for the purposes of its assessment of the impact of the Acquisition on competition is the supply of General Veterinary Services in the local Blackwood area in South Australia.
- 3.6. Based on the information currently before it, the ACCC's preliminary view is that:
- the product dimension of the relevant market is limited to General Veterinary Services;
 - the relevant geographic dimension of the relevant market is the local Blackwood area in South Australia.
- 3.7. The ACCC is continuing to assess the demand side substitution possibilities in respect of other clinics supplying General Veterinary Services based in the area around Hills Veterinary Centre having regard to their geographic distance from the Parties' clinics and where customers are based.

Matters the ACCC intends to investigate in Phase 2

- How far pet owners in Blackwood and surrounding areas are willing to travel to purchase General Veterinary Services.

Competitive effects in the supply of General Veterinary Services in the local Blackwood area

- 3.8. The ACCC is satisfied that the Acquisition could have the effect, or likely effect, of substantially lessening competition in the supply of General Veterinary Services in the local Blackwood area.
- 3.9. The Acquisition would remove the competitive constraints between Vets Central and Hills Veterinary Centre in the local Blackwood area. With the removal of Hills Veterinary Centre as an independent competitor to Vets Central, there remain limited effective competitive alternatives.
- 3.10. As a result, post-acquisition, the merged entity could unilaterally increase prices and/or reduce service quality in the supply of General Veterinary Services.
- 3.11. Based on the information currently before it, the ACCC considers that:
- Hills Veterinary Centre and Familypet Vet Coromandel Valley compete closely with each other. Familypet Vet Coromandel Valley, owned by Vets Central, is the second closest clinic to Hills Veterinary Centre (located 2.9km away), and there is a significant overlap in their customer catchment areas.
 - Only one alternative supplier, Blackwood Veterinary Surgery, which is located 300m away from the Target, would remain as a close competitor to the Parties in the immediate Blackwood area. Blackwood Veterinary Surgery has shorter opening hours than Hills Veterinary Centre and Familypet Vet Coromandel Valley, including no opening hours on weekends.
 - Other clinics located north of Hills Veterinary Centre may not effectively constrain the merged entity. Information before the ACCC indicates that customers of Hills

Veterinary Centre and Familypet Vet Coromandel Valley are typically located south of Hills Veterinary Centre, and the topography of the area may mean customers are less prepared to travel north through and out of the Adelaide Hills for General Veterinary Services.

- Further south of Blackwood, Vets Central's Chandlers Hill Vet is one of the next two closest clinics. The Acquisition would result in Vets Central owning and operating three of the five clinics located in Blackwood and south of Blackwood post-acquisition.
- There appears to be a low likelihood of timely new entry or expansion to effectively constrain the merged entity. Information obtained to date indicates that there are material barriers to entry and expansion, including an attachment of senior vets to existing practices. These attachments mean that there are unlikely to be veterinarians in the local area willing to open their own clinic and, even if they do so, they may face difficulties in recruiting additional experienced veterinarians to work at a new clinic.

- 3.12. The ACCC is also continuing to consider whether the Acquisition and recent acquisitions which have been put into effect by Vets Central during the previous three years could have the combined effect, or likely effect, of substantially lessening competition in a relevant market pursuant to section 51ABZH(6) of the Act.² Specifically, Vets Central acquired Chandlers Hill Vet on 10 July 2023, less than three years before Vets Central notified the Acquisition. Chandlers Hill Vet is located 8.2 km south-west of Hills Veterinary Centre and 6 km south-west of Vets Central's Familypet Vet Coromandel Valley.

Matters the ACCC intends to investigate in Phase 2

- The extent to which other clinics providing General Veterinary Services located north of Hills Veterinary Centre would meaningfully constrain the merged entity in the local Blackwood area.
- The likelihood of timely new entry and expansion that would constrain the merged entity in the supply of General Veterinary Services in the local Blackwood area, including the extent of attachment of senior vets to existing practices and the extent to which reputation influences customers' choice of veterinary clinic.
- The extent to which the Acquisition and acquisitions put into effect by Vets Central in the three years preceding notification have affected or would affect the competitive constraints faced by Vets Central in the suburbs around Blackwood.

Decision made by a division of the Commission constituted by a direction issued pursuant to section 19 of the *Competition and Consumer Act 2010* (Cth)

² The ACCC may treat the effect of the acquisition as being the combined effect of the current acquisition and the effect of certain acquisitions put into effect over the preceding 3 years, including where the acquisitions involve the same party (or a related body corporate) and the targets are involved in the supply or acquisition of the same, substitutable or otherwise competitive goods or services (disregarding geographical factors or limitations). Also, see paragraphs 5.50 and 5.51 of the [Merger Process Guidelines \(interim version\)](#) and paragraphs 5.38 to 5.42 of the [Merger Assessment Guidelines](#).